

HEDGEYE DAILY DIGEST

August 12, 2026 · Daily Research Digest · Reader TZ: GMT+8

Top line: Keith McCullough's process is leaning harder into **#Quad3** — oil, commodities and short/long yields are turning bullish while the **10s–2s curve steepens to a new cycle high of +47bps**. The signal-based message is a rotation out of high-beta AI momentum (down another **-3.7%**) and into **Healthcare, equal-weight, dividends and small-cap value**. Ahead of Wednesday's **July CPI**, Hedgeye cut its **TLT and LQD shorts to minimum size**, added to a Treasury steepener, stayed **short USD / long JPY + EUR**, and continued to prefer **ETH over BTC**.

Grouped by GMT+8. Hedgeye's flagship Tuesday US-morning slate (Early Look, MOMO Tracker, Macro Show) published in the GMT+8 evening, so it lands under Yesterday; only Tuesday-afternoon EDT items (Signal Strength Stocks, ETF Pro) fall into Today.

Today's Publications

SIGNAL STRENGTH STOCKS — 72 Stocks (5 Added, 5 Removed)

Signal Strength Stocks · 08/11 01:15 PM EDT (Aug 12 GMT+8)

The weekly single-stock signal screen expanded back to **72 names**. Notably, **NVDA** was **added** back to the bullish-signal list — interesting given Keith's simultaneous warnings about a broader AI/high-beta unwind — alongside **DT**, **FCX** (copper/materials, consistent with the bullish commodity TREND), **EL** and **ULTA** (consumer/beauty).

The five **removals** were **JBS**, **BBWI**, **KTB**, **FAF** and **LEVI**. Additions skew toward materials and select consumer names while removals clear out weakening consumer/financial-adjacent signals — a modest reshuffle rather than a regime shift in the single-stock screen.

ETF PRO PLUS — 3 New ETF Pro Changes

ETF Pro Plus · 08/11 12:24 PM EDT (Aug 12 GMT+8)

A real-time ETF Pro update that maps cleanly onto the macro view. Hedgeye is **adding long Short Corporate Bond (VCSH)** — a low-duration credit vehicle consistent with trimming duration/credit shorts and hiding at the front end — and **Quantum Tech (QTUM)**.

It is **removing long Office REITs (DESK)** after the ETF broke TRADE/TREND (cited range **40.08–43.52**). The through-line: shorten duration, keep a toe in select thematic tech, and cut a broken rate-sensitive REIT exposure.

Yesterday's Publications

EARLY LOOK — “Deep #Quad3 Beliefs”

Early Look · Keith McCullough · 08/11 07:38 AM EDT (Aug 11 GMT+8)

What: The flagship daily macro note, framed around **#Quad3** conviction and a pointed contrast between Hedgeye's signal-driven process and the AI-financing narrative dominating the tape (Keith mocked the reported **\$500 billion** “circular financing” AI deal and “deep belief” storytelling).

Why: August #Quad3 signals are strengthening. Oil flipped back to bullish **TRADE and TREND** (WTI “Alpha Code” **80/82**); the **CRB Commodities Index** is back bullish **TRADE/TREND**; the **UST 2yr yield** turned bullish **TRADE/TREND**; the **UST 10yr** stays bullish with a Risk Range of **4.61–4.76%**; and the **10s–2s curve steepened to a #Quad3 cycle high of +47bps**.

Who / What's working: **Healthcare** led again — **XLV +1.7%** to new August #Quad3 cycle highs and **FXH** printed an **all-time high** — while **High Beta Momentum** fell **-3.7%** and **TMT Momentum -3.8%** on the day (SPY only **-0.1%**).

Quad positioning: #Quad3 (growth slowing, inflation accelerating).

Asset	Risk Range™	TREND
UST 10Y Yield	4.61 – 4.76	Bullish
High Yield (HYG)	78.96 – 79.62	Bullish
IG Corp Bonds (LQD)	105.3 – 106.8	Bearish
S&P 500 (SPX)	7550 – 7924	Bullish
NASDAQ (COMPQ)	25402 – 27111	Bullish
Russell 2000 (RUT)	2962 – 3075	Bullish
Technology (XLK)	174 – 192	Bullish
Health Care (XLV)	162 – 170	Bullish
Real Estate (XLRE)	44.06 – 46.01	Bullish
Volatility (VIX)	13.25 – 17.74	Bearish
US Dollar (USD)	99.35 – 100.30	Bearish
WTI Crude Oil	75.23 – 87.42	Bullish
Natural Gas	2.60 – 2.83	Bearish
Gold	4166 – 4484	Bullish
Copper	6.41 – 6.83	Bullish
Silver	56 – 67	Neutral

Takeaway: Stay long the #Quad3 winners — **Healthcare, Gold, commodities/oil, the curve steepener** — and keep fading concentrated **AI/high-beta momentum**. The signals, not the narrative, drive the book.

MACRO SHOW — Summary Notes, Tuesday Aug 11

The Macro Show · 08/11 10:25 AM EDT (Aug 11 GMT+8)

What: Keith McCullough and Daryl Jones detailed the most consequential positioning shift of the week ahead of **July CPI (due Wed)**.

Why / Key moves: The headline change — **TLT and LQD shorts cut to minimum size**, two of the largest macro shorts, as the **10yr yield (~4.73–4.74%)** neared the **4.76%** top of its Risk Range and CPI loomed as a potentially dovish catalyst. This is a reduction, not an exit — Keith still expects next month's CPI to rise and would rather **buy TLT** once yields drift back toward **~4.65%**. Simultaneously he **added to the Treasury steepener (IVOL)** into the **+47bps** cycle-high curve.

Who: Preferred “top three” longs: **LLY, MSFT, AMZN**. **AAPL** flagged as “barely bullish,” crowded, and a market risk below **303** (no position). Broadening equity exposure via **RSP** (equal-weight over SPY), **VYM**, **SMDV** (small-cap dividends — “doubling down” on value into an expected Quad3→Quad1 transition). Long **Philippines (EPHE)** — a short-to-long reversal — plus **New Zealand (ENZL)**; short **Qatar (QAT)**. Currencies: **short USD, long JPY, long EUR**. Crypto: bought **ETH**, not **BTC** (stronger signal). **Silver** failed at trend (~66) and was not chased; **buy Gold** weakness.

Key numbers: 10yr ~**4.73–4.74%** vs **4.76%** top-range; curve **+47bps**; XLV **+1.7%**; High Beta Momentum **-3.7%**, TMT **-3.8%**; SPX higher-low near **7,924**.

Takeaway: Reduce duration/credit shorts into CPI, own the steepener, and keep rotating equity exposure toward healthcare, equal-weight, dividends and small-cap value — follow TRADE/TREND, not the macro narrative.

MOMO TRACKER — Mag7 (+0.0%), ORCL/AAPL = NEUTRAL

Momentum Stock Tracker · Christian Drake / Ryan Ricci · 08/11 08:37 AM EDT (Aug 11 GMT+8)

What: The daily momentum dashboard for the Mag7 and major equities (body is chart-driven; key reads are in the headline).

Why / Key numbers: **Mag7 flat (+0.0%)** on the day, with **ORCL and AAPL screening NEUTRAL** on signal. Critically, **7 of 9** tracked Risk Ranges now show **Downside > Upside** — a deteriorating skew that reinforces caution on concentrated mega-cap/AI exposure. **0DTE curve impacts** flagged as a market-structure factor.

Takeaway: Momentum skew has turned unfavorable for the mega-cap complex — consistent with the Early Look’s “phase one” unwind thesis. Manage size; don’t chase the Mag7 here.

CAPITAL ALLOCATION PRO — Model Portfolio Changes & Daily Dashboard

Capital Allocation Pro · 08/11 08:50 AM EDT + Model Portfolio Changes eff. 8/10 (Aug 11 GMT+8)

What: Hedgeye Asset Management’s model-portfolio update; changes went into effect on **Monday, Aug 10** closing prices, with the Daily Dashboard refreshed Tuesday.

Why: Aligns the model portfolios with the #Quad3 signal set (Trend/Tail levels across **68 ETFs** refreshed on the standard 3–4 week cycle). The specific tilts — healthcare, equal-weight, dividends, small-cap value, short duration — mirror the Macro Show book.

Takeaway: The systematic model portfolios are tracking the same #Quad3 rotation Keith is running discretionarily — “when you receive an email from us, it’s signal, not noise.”

DIGITAL ASSETS — Position Monitor

Digital Assets · Steiner / Drake / Cooper · 08/11 06:26 AM EDT (Aug 11 GMT+8)

What: A crypto position-monitor change — **moving Ethereum (ETH) and Solana (SOL) to the Long Bench**.

Why: Signal-based de-emphasis; both come off active long status to the bench even as ETH remains the preferred major over BTC on the discretionary book. The bench move is a sizing/conviction downgrade, not an outright short.

Takeaway: Reduce active crypto beta; **ETH still > BTC** on signal, but SOL and ETH move to the bench pending stronger confirmation.

BITCOIN TREND TRACKER — Crypto Quant

Bitcoin Trend Tracker · 08/11 06:55 AM EDT (Aug 11 GMT+8)

What: The daily crypto quant note. **BTC +0.2%** overnight, with **BTC and BMNR flipping (back to) BEARISH** on TREND.

Why / Who: A regulatory catalyst is flagged for **Aug 14th** (“Regulation Crypto”), and a provocative relative-value question — **TRON > ETH(?)** — on signal.

Takeaway: Near-term crypto TREND signals softened (**BTC/BMNR bearish**); watch the **Aug 14** regulatory event as the next catalyst.

ALSO PUBLISHED (Aug 11 GMT+8)

Weekly / rollover items

Signal Strength Stocks (08/10, 12:29 PM EDT) expanded to **72 names (7 added, 2 removed)**; **ETF Pro Plus: August Update (Q3 2026)** refreshed quarterly ETF positioning; and the **Weekly Exchange Tracker** posted its routine digital-assets volumes update.